

International Investment Law

Consolidated Examination Notes

I · Evolution of International Investment Law and the Theory of Diplomatic Protection

II · Sources of International Investment Law

III · ICSID Convention — Articles 27, 53 and 54

IV · Salient Features of Bilateral Investment Treaties

White Industries v India · SPP v Egypt · AAPL v Sri Lanka

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Public international law — treaty practice and investment arbitration,
with Indian treaty practice where relevant

PURPOSE

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Part I — Evolution of International Investment Law and the Theory of Diplomatic Protection

1.1 Why This Subject Exists

Before the middle of the twentieth century a foreign investor could not answer three basic questions: what treatment am I entitled to, who will decide if that treatment is denied, and how will the decision be enforced? The only route available was **diplomatic protection**, under which the investor's own State took up the complaint. It answered none of the three questions well.

International investment law was created to supply what diplomatic protection could not. Two types of State are referred to throughout: **capital-exporting States**, whose nationals invest abroad, and **capital-importing States**, which receive investment. Capital exporters wanted an international minimum standard of protection. Capital importers said a foreigner should get no more than a national gets. That disagreement runs through the whole subject.

1.2 Meaning of Diplomatic Protection

Definition. Diplomatic protection is the action of a State in invoking the responsibility of another State for injury caused by an internationally wrongful act to a person who is its national (ILC Draft Articles on Diplomatic Protection 2006, Article 1). It covers both natural and legal persons, and it covers injury to property and investments as well as to the person.

Diplomatic espousal is the act by which the home State adopts its national's claim and presents it as its own. A commercial grievance then becomes an inter-State dispute.

Distinguish diplomatic immunity. Immunity is the personal privilege of diplomats and consular officers, protecting them from the jurisdiction of the receiving State. Diplomatic protection is a right of the home State to complain about injury to any of its nationals. Immunity covers a few officials; diplomatic protection is available in principle for every national.

1.3 Legal Basis

Diplomatic protection is a rule of **customary international law**, not a treaty rule. Its classic statement is in ***Mavrommatis Palestine Concessions***:

“By taking up the case of one of its subjects and by resorting to diplomatic action or international judicial proceedings on his behalf, a State is in reality asserting its own rights — its right to ensure, in the person of its subjects, respect for the rules of international law.”

Mavrommatis Palestine Concessions (Greece v United Kingdom), PCIJ, Judgment No 2, 30 August 1924, Series A No 2, at 12.

Key point: this is the Vattelian fiction — injury to a national is treated as injury to his State. Therefore the claim belongs to the State, not to the investor. Every defect of the doctrine flows from this one rule.

1.4 Conditions for Exercising Diplomatic Protection

Five conditions must normally be met.

1. **An internationally wrongful act** attributable to the host State which injures the national, such as expropriation without compensation, denial of justice, or failure to protect.
2. **Nationality of the claim.** For an individual, nationality is decided by the law of the State conferring it, subject to limits in international law. For a company, the test is the **State of**

incorporation together with the registered office (*Barcelona Traction*; Article 9 of the Draft Articles).

3. **Continuous nationality** — the person must be a national both when the injury occurred and when the claim is made (Articles 5 and 10).
4. **Exhaustion of local remedies** — the injured person must first use the host State's own courts (*Interhandel*; Articles 14–15). Exceptions include no reasonably available effective remedy, undue delay caused by the respondent State, and the absence of any relevant connection with that State.
5. **Discretion of the home State** — even if all else is satisfied, the State need not act. Article 19 only recommends that it consider acting and pass on any compensation.

1.5 Why the Classical System Failed

1. **No forum for the investor.** Under Article 34(1) of the ICJ Statute, only States may be parties before the Court. The investor must persuade its own government to sue. This is the “bottleneck”.
2. **No clear substantive law.** The customary rules on treatment of aliens were uncoded and disputed, so the investor could not know its protection in advance.
3. **Political discretion.** A home State weighs one investor against its whole relationship with the host State and often refuses. Even if it wins, the compensation belongs in law to the State.

1.6 Leading Cases on Diplomatic Protection

(a) *Mavrommatis Palestine Concessions (Greece v United Kingdom)*, PCIJ, Judgment No 2, 30 August 1924, Series A No 2

Facts. A Greek national claimed that concessions he held in Palestine had been impaired by the British Mandatory administration. Greece took up the claim.

Decision. The Court accepted jurisdiction over the Jerusalem concessions and refused it for Jaffa.

Principle. When a State espouses its national's claim it asserts its own right, and the dispute becomes an inter-State dispute. This is the foundation of the doctrine, and the background to Article 27 of the ICSID Convention.

(b) *Nottebohm (Liechtenstein v Guatemala)*, ICJ Reports 1955, p 4

Facts. Nottebohm was German by birth and had lived and traded in Guatemala for decades. He obtained Liechtenstein nationality in 1939. Liechtenstein later claimed on his behalf.

Decision. Claim inadmissible. The naturalisation lacked a **genuine link** with Liechtenstein and could not be relied on against Guatemala (at 23 and 26).

Principle. Nationality used for diplomatic protection must rest on a real connection. The same concern returns in treaty practice as treaty shopping and denial of benefits. **Note:** the case is about whether nationality can be relied on against another State; it does not make conferred nationality invalid for all purposes.

(c) *Interhandel (Switzerland v United States)*, ICJ, Preliminary Objections, 21 March 1959

Facts. Switzerland claimed for a Swiss company whose United States assets had been vested during the Second World War, while related litigation was still pending in American courts.

Decision. Claim inadmissible for failure to exhaust local remedies, described as a well-established rule of customary international law (at 27).

Principle. Local remedies must be used first. This is the burden that investment treaties later removed, and that the Indian Model BIT 2015 deliberately brought back.

(d) *Barcelona Traction, Light and Power Company Ltd (Belgium v Spain)*, ICJ Reports 1970, p 3

Facts. The company was incorporated in Canada in 1911 with its head office there, but most shares were held by Belgian nationals. After measures taken in Spain it went into receivership. Belgium claimed for its shareholders.

Decision. Belgium had no **jus standi**. The company was Canadian, by incorporation and registered office, so only Canada could protect it. The suggested exceptions failed because the company, though in receivership, had not ceased to exist (paras 65–66).

Principle. Injury to a company is not injury to its shareholders; separate legal personality is respected.

Examination point: this is the central case of the topic. Investment is usually routed through companies incorporated in third States, so the shareholders' State is left powerless. Treaties answer this by defining "investor" to include shareholders and giving them rights directly.

(e) *Elettronica Sicula S.p.A. (ELSI) (United States v Italy)*, ICJ Chamber, 20 July 1989

Facts. The United States claimed under its Treaty of Friendship, Commerce and Navigation with Italy over measures affecting an Italian company owned by American corporations.

Decision. The local remedies rule applies to treaty claims unless clearly waived; on the facts remedies had been exhausted (para 50).

Principle. A treaty does not remove the local remedies rule by implication. This is why modern treaties deal with local remedies expressly.

(f) *Ahmadou Sadio Diallo (Guinea v Democratic Republic of the Congo)*, ICJ, Preliminary Objections, 24 May 2007; Merits, 30 November 2010

Facts. Guinea claimed for the arrest and expulsion of Mr Diallo and for injury to two companies of which he was the sole shareholder.

Decision. Guinea could protect his own rights and his **direct** rights as a shareholder. Protection **by substitution** for the companies was rejected, the Court holding that it is not recognised in customary international law "at least at the present time" (Preliminary Objections, para 89). On the merits, his individual rights were violated but his shareholder rights were not.

Principle. Diplomatic protection of a shareholder is limited to the shareholder's own rights. This is the most recent confirmation that **Barcelona Traction** is still good law, and therefore the strongest argument for investment treaties.

(g) *North American Dredging Company of Texas (United States v Mexico)*, General Claims Commission, Decision of 31 March 1926, (1926) 4 RIAA 26

Facts. A dredging contract with the Mexican Government contained a **Calvo Clause**: the contractor and its employees were to be treated as Mexicans and were to claim only the rights available to Mexicans.

Decision. The claim was dismissed. The clause validly bound the company to use Mexican remedies for its contractual grievances, but the Commission stated that no rule of international law prohibits a State from protecting its nationals, so the clause could not bar a claim for a violation of international law such as denial of justice.

Principle. A private party may agree to use local remedies first, but cannot contract away a right that belongs in law to its State.

(h) *Panevezys–Saldutiskis Railway (Estonia v Lithuania)*, PCIJ, Judgment of 28 February 1939, Series A/B No 76

Facts. Estonia claimed on behalf of a company over the seizure and operation of a railway line by Lithuania.

Decision. Lithuania raised two preliminary objections, both concerning admissibility: that the claim must be national not only when presented but also when the injury occurred, and that local remedies had not been exhausted. The Court upheld the objection based on local remedies.

Principle. Confirms the two admissibility requirements: continuous nationality of the claim, and exhaustion of local remedies.

1.7 Historical Development

Alien protection and force. The oldest layer of the subject is the customary law on injury to aliens, including denial of justice and State responsibility. Treaty practice took the form of **Friendship, Commerce and Navigation (FCN) treaties**, which covered commerce, navigation and the treatment of each party's nationals and their property. FCN treaties are the ancestors of the BIT, and **ELSI** was decided under one. Enforcement, however, was often by force. The use of military power to protect investments abroad, called **gunboat diplomacy**, caused deep resentment in Latin America.

Drago–Porter, 1907. The Argentine Foreign Minister Luis Drago argued that failure to repay public debt is not a lawful ground for armed intervention. The principle was given treaty form at the Second Hague Peace Conference of 1907, in the convention generally called the **Drago–Porter Convention**, which limited the use of force to recover contract debts.

Calvo Doctrine, 1868. Carlos Calvo argued that a foreign investor is entitled only to **national treatment**, that is, the same treatment the host State gives its own nationals, whatever its level; that home States must not interfere; and that investors must use local courts only. Carried to its conclusion, this removes international law from investment disputes. The doctrine was put into contracts as the **Calvo Clause**, whose limits were fixed in ***North American Dredging***.

1917–1918 and the minimum standard. Debate on Calvo's view became serious only after 1918. The Russian Revolution declared that private property should not be protected at all. Once a State abolished private property for its own nationals, national treatment guaranteed a foreigner nothing. **This is why capital-exporting States began to demand an international minimum standard** independent of the host State's domestic level of protection. The **Lena Goldfields** arbitration of this period is associated with the principle of **unjust enrichment**.

Hull Formula, 1938. When Mexico nationalised United States oil interests, Secretary of State **Cordell Hull** accepted Mexico's right to expropriate but demanded "prompt, adequate and effective" compensation: prompt means punctual payment, adequate means full value, and effective means payment in a usable form, including the right to take the money out of the country. The Hull Formula is still the standard compensation measure in investment treaties.

Why the Hull Formula matters: it requires full compensation to a foreign investor **whether or not the host State's own nationals have any such right**. It is the minimum standard applied to expropriation.

Decolonisation and PSNR. From 1945 to 1990 the field was dominated by conflict between newly independent developing States and capital exporters. Developing States asserted **permanent sovereignty over natural resources (PSNR)**: a State and its people have full authority over their natural wealth, to be used for national development and the well-being of the people. It was asserted through the General Assembly in **Resolution 1803 (XVII) of 1962** and carried further by the **Charter of Economic Rights and Duties of States, Resolution 3281 (XXIX) of 1974**, which declared the sovereign right of every State to choose its economic system. Both are recommendatory; their value is

as evidence of custom and as political pressure in negotiation. The class materials link PSNR with the **resource curse**, the observation that resource-rich States may still remain poor.

Failed codification and the birth of the treaty system. The **Abs-Shawcross Draft Convention (1959)**, the **OECD Draft Convention on the Protection of Foreign Property (1967)** and the **Multilateral Agreement on Investment (1995–1998)** were all abandoned. What worked instead was a two-part structure. The first **bilateral investment treaty** was concluded between **Germany and Pakistan in 1959**, and such treaties multiplied. Procedure and enforcement came separately from the **ICSID Convention**, drafted under World Bank auspices, signed on 18 March 1965 and in force from 14 October 1966.

Organising idea of the subject: the **ICSID Convention gives the forum and the enforcement machinery but almost no substantive rights**. The **substantive rights of investors are in BITs and other investment agreements**. An ICSID tribunal therefore applies standards taken from a treaty, a contract or domestic law, not from the Convention.

Liberalisation after 1990. States that had supported PSNR for thirty years began competing for foreign investment. Structural adjustment programmes, the **Washington Consensus** and the **World Bank Guidelines on the Treatment of Foreign Direct Investment (1992)** pushed the same way, and treaties multiplied. Investment protection also entered wider agreements: **NAFTA Chapter 11 (1994)**, replaced by the **USMCA** from 1 July 2020, which narrows investor–State arbitration, and the **Energy Charter Treaty (1994)** for the energy sector.

Generations of BITs. First-generation treaties were short and investor-protective. Second-generation treaties expanded the treatment standards and dispute clauses. **Third-generation (new-generation) treaties**, which represent current practice, rebalance the relationship: narrower definitions, qualified standards, general and security exceptions, and sometimes obligations on investors.

Present reform phase. Since about 2010 the system has been criticised for inconsistent awards, cost and delay, interference with the right to regulate, and doubts about arbitrator independence. **UNCITRAL Working Group III** has been working on reform of investor–State dispute settlement since 2017. It has produced a **Code of Conduct for Arbitrators (2023)** and a statute for an **Advisory Centre on International Investment Dispute Resolution (2024)**, and negotiation continues on a standing or appellate mechanism. A multilateral investment court has been proposed but **has not been established**.

1.8 ILC Draft Articles on Diplomatic Protection, 2006

The International Law Commission adopted the Draft Articles on second reading on **9 August 2006**. There are nineteen articles in four parts: general provisions (1–2), nationality (3–13), local remedies (14–15) and miscellaneous provisions (16–19). The provisions to remember are:

Art 1 definition of diplomatic protection;

Art 5 continuous nationality of individuals (Article 10 for companies);

Art 9 nationality of a company — the State of incorporation;

Art 11 protection of shareholders, allowed only in limited exceptional cases — the Commission's answer to **Barcelona Traction**;

Arts 14–15 exhaustion of local remedies and its exceptions;

Art 17 **lex specialis** — the Draft Articles give way to special rules such as investment treaty provisions. This is the bridge to Article 27 of the ICSID Convention;

Art 19 recommended practice, including transfer of compensation to the injured person.

Status. The Draft Articles are **not binding**. No convention has been concluded. The General Assembly has repeatedly commended them and asked for comments on whether a convention should be drafted,

most recently in **Resolution 77/105 of 7 December 2022**. Courts and tribunals cite them as evidence of custom.

1.9 Diplomatic Protection Compared with Investor–State Arbitration

Feature	Diplomatic protection	Investor–State arbitration
Who owns the claim	The home State (<i>Mavrommatis</i>)	The investor
Espousal by the State	Required, and fully discretionary	Not required; investor claims as of right
Forum	ICJ or diplomatic channels — States only	Arbitral tribunal; investor appears directly
Local remedies	Must be exhausted unless clearly waived	Not required unless the treaty says so
Standards applied	Uncodified customary rules	Defined treaty standards
Who gets the money	The State	The investor
Enforcement	Political	Treaty-based (ICSID Articles 53 and 54)

This is why investor–State arbitration is called a **hybrid**, and sometimes a **chimera**: a private party uses an inter-State treaty against a sovereign, through machinery resembling commercial arbitration. It also departs from the classical rule that only States and State-created entities are subjects of international law.

1.10 India’s Position

India supported PSNR through the General Assembly from 1962 and opposed the ICSID system as a restriction on sovereign control of natural resources and economic policy. **India is not a party to the ICSID Convention**. It took part in the negotiations but did not sign, so ICSID arbitration is not available against India. Indian investment claims proceed under other rules, usually the **UNCITRAL Arbitration Rules 1976**, which are ad hoc and need no institution. *White Industries* was such a case. India’s treaty practice began with the **India–United Kingdom BIT of 1994**.

The class materials link this to the **persistent objector rule**, under which a State that objects consistently and openly from the start is not bound by a new rule of custom. The analogy helps in remembering India’s policy, but use it carefully: that rule concerns the formation of custom, while non-membership of a treaty needs no justification at all.

Part II — Sources of International Investment Law

2.1 The Framework

The sources are those of international law generally, listed in **Article 38(1) of the Statute of the International Court of Justice**: treaties, custom, general principles of law, and, as subsidiary means, judicial decisions and the writings of publicists. Two adjustments are needed in this field: **arbitral awards** are highly persuasive though they bind only the parties, and **domestic law and investment contracts** may have to be applied. The class materials divide the sources institutionally into the ICSID Convention and BITs, which reflects the split between procedure and substance.

2.2 The ICSID Convention, 1965

The Convention created the **International Centre for Settlement of Investment Disputes**, the only global institution for investment disputes. “ICSID” is used for both the Centre and the Convention. Its organs are the **Administrative Council** (one representative of each Contracting State, chaired ex officio by the President of the World Bank), the **Secretariat** (headed by the Secretary-General, which registers requests, administers cases and certifies awards, with its seat at the World Bank in Washington), and the **Panels of Conciliators and Arbitrators** (persons of high moral character and recognised competence in law, commerce, industry or finance).

The provisions used throughout the subject are:

Art 25 jurisdiction — a **legal dispute arising directly out of an investment**, between a Contracting State and a national of another Contracting State, which the parties have **consented in writing** to submit. The three limbs are subject matter, parties and consent. “Investment” is deliberately left undefined.

Art 27 exclusion of diplomatic protection (Part III).

Art 41 competence-competence — the tribunal decides its own jurisdiction.

Art 42(1) applicable law — the law agreed by the parties; failing agreement, host-State law and applicable international law.

Arts 50–52 the only remedies after an award — interpretation, revision and annulment. **There is no appeal.**

Arts 53–55 binding force, recognition and enforcement, and immunity from execution (Part III).

Membership. As at 30 June 2025 there were 165 signatory and Contracting States, of which **158 were Contracting States**. Under Article 71 the Convention has been denounced by Bolivia (2007), Ecuador (2009), Venezuela (2012) and Honduras (effective 25 August 2024). **India has never been a party.**

2.3 The New York Convention, 1958

The Convention on the Recognition and Enforcement of Foreign Arbitral Awards applies to awards that are **not** ICSID awards, including investment awards under the UNCITRAL Rules. Its importance here is as a contrast. Under **Article V** a national court may refuse recognition on several grounds, including **non-arbitrability** and **public policy** — the two weaknesses identified in the class materials, because each national court decides their content for itself. The ICSID Convention allows no such ground.

2.4 Bilateral Investment Treaties and Other Investment Agreements

BITs are the main source of **substantive** investor rights. An **international investment agreement (IIA)** is the wider category, including BITs and treaties containing investment provisions such as the investment chapters of free trade agreements. UNCTAD recorded **3,265 agreements at the end of 2022 (2,830 BITs and 435 treaties with investment provisions), of which at least 2,584 were in force**. These numbers change every year and should be taken from the latest World Investment Report.

2.5 Other Multilateral and Regional Instruments

1. **NAFTA Chapter 11 (1994)**, replaced by the **USMCA** from 1 July 2020, which restricts investor–State arbitration.
2. **Energy Charter Treaty (1994)** for the energy sector. The European Union and Euratom withdrew with effect from 28 June 2025, and modernising amendments took effect from 3 September 2025. A **twenty-year sunset clause** keeps protection alive for existing investments.
3. **CPTPP (2018)**, which contains investor–State arbitration, and **RCEP (2022)**, which does not.
4. **CETA**, which replaces ad hoc arbitration with a standing Investment Court System, held compatible with European Union law in **Opinion 1/17 (2019)**.
5. **MIGA Convention (1985)**, creating the Multilateral Investment Guarantee Agency, which gives political-risk insurance rather than adjudication.
6. **WTO agreements** so far as they touch investment: the **TRIMs Agreement** and **GATS Mode 3. Article XX of the GATT** is important indirectly, as the model for general exceptions clauses in BITs.

2.6 Customary International Law

Custom does three things here: it supplies the **international minimum standard** of treatment of aliens, to which fair and equitable treatment clauses are often tied; it supplies the law of **State responsibility**; and it fills gaps where a treaty is silent, the technique used in **AAPL v Sri Lanka**. The authoritative statement is the **ILC Articles on Responsibility of States for Internationally Wrongful Acts (2001)**, used by tribunals for attribution (Articles 4–8), necessity (Article 25) and reparation (Article 31 onwards).

Rule to remember: a State cannot plead its own domestic law as an excuse for breach of an international obligation. See Article 27 of the Vienna Convention on the Law of Treaties 1969 and the ILC Articles on State Responsibility. This was decisive in **SPP v Egypt**.

2.7 General Principles of Law

The general principles used in investment awards are good faith, **pacta sunt servanda**, **unjust enrichment** (associated with the Lena Goldfields arbitration), estoppel, **res judicata** and proportionality, which is increasingly used to test regulatory measures against investor protection.

2.8 Arbitral Awards and Precedent

There is no doctrine of stare decisis in investment arbitration. Article 53(1) of the ICSID Convention makes an award binding on the parties only, and UNCITRAL tribunals are equally unbound. **White Industries** applied this directly by refusing to treat the Salini test as governing, because it had developed in ICSID practice. In practice tribunals cite each other and try to be consistent, producing a persuasive **jurisprudence constante**.

The limits of consistency appear in two well-known divergences:

1. **Lauder v Czech Republic** and **CME v Czech Republic** (both UNCITRAL, 2001) — two tribunals reached opposite results on substantially the same facts.
2. **SGS v Pakistan**, ICSID Case No ARB/01/13, Decision on Jurisdiction, 6 August 2003, took a restrictive view of the **umbrella clause**, while **SGS v Philippines**, ICSID Case No ARB/02/6, Decision on Jurisdiction, 29 January 2004, held that such a clause means what it says and covers contractual commitments, though an exclusive forum clause in the contract prevented the tribunal from deciding the amount due.

These inconsistencies are the main argument for an appellate or standing mechanism in the current reform work.

2.9 Writings of Publicists and Soft Law

Academic writing matters here because the treaty texts are short. The standard works are Schreuer's commentary on the ICSID Convention, and the treatises of Dolzer and Kriebaum, Salacuse, Sornarajah, and Newcombe and Paradell. **Stephan Schill's** thesis on the **multilateralisation** of international investment law argues that the thousands of bilateral treaties work in practice as one multilateral system, mainly through MFN clauses and similar wording interpreted in similar ways.

The soft-law instruments most often cited are General Assembly **Resolutions 1803 (XVII)** and **3281 (XXIX)**, the **World Bank Guidelines on Foreign Direct Investment (1992)**, UNCTAD's Investment Policy Framework, the **UNCITRAL Transparency Rules (2014)** with the Mauritius Convention (2015), and the **Code of Conduct for Arbitrators (2023)**. The main journal is the **ICSID Review — Foreign Investment Law Journal**; the **AAPL** award was reported in the **Yearbook Commercial Arbitration**.

2.10 Domestic Law and Investment Contracts

Domestic law is a source in three ways.

1. **As applicable law**, under Article 42(1) of the ICSID Convention where the parties have made no choice.
2. **As the source of consent to arbitration**. A host State's investment statute may itself contain a standing offer of ICSID arbitration, which the investor accepts by filing. This is the holding in **SPP v Egypt**, where jurisdiction rested on Article 8 of Egyptian Law No 43 of 1974.
3. **As a source of substantive rights**, through investment codes, concession agreements and **stabilisation clauses**, that is, promises by the host State not to change the legal regime applicable to a project. The tax holidays and customs exemptions promised in **SPP** are an example.

Domestic law also governs **execution** of awards, under Article 54(3).

Part III — ICSID Convention: Articles 27, 53 and 54

These three articles work together to secure the **exclusivity, finality and enforceability** of ICSID arbitration. Article 27 removes the competing route of diplomatic protection at the start. Article 53 removes appeal and every outside remedy at the end. Article 54 makes every Contracting State treat the award as a judgment of its own courts. The text below is the official English text of the Convention.

3.1 Article 27 — Exclusion of Diplomatic Protection

Text

(1) No Contracting State shall give diplomatic protection, or bring an international claim, in respect of a dispute which one of its nationals and another Contracting State shall have consented to submit or shall have submitted to arbitration under this Convention, unless such other Contracting State shall have failed to abide by and comply with the award rendered in such dispute.

(2) Diplomatic protection, for the purposes of paragraph (1), shall not include informal diplomatic exchanges for the sole purpose of facilitating a settlement of the dispute.

Meaning

Article 27 is the link between Part I and the treaty system. Once the investor and the host State have consented to ICSID arbitration, the investor's **home State** is barred from giving diplomatic protection or bringing an international claim about the same dispute. The purpose is **depoliticisation**: the dispute leaves the inter-State plane and stays in the arbitral forum the parties chose.

Elements

1. The prohibition binds the **home State**, which is not itself a party to the arbitration.
2. Two acts are prohibited: **giving diplomatic protection** and **bringing an international claim**. The second limb closes off inter-State proceedings outside the Convention.
3. The words “**shall have consented to submit or shall have submitted**” mean the bar operates **from the moment of consent**, not only once proceedings begin.
4. It must be the **same dispute**, between that national and that other Contracting State.
5. The bar is **conditional**: it lasts unless the host State fails to comply with the award.

Revival of diplomatic protection

Examination point — when does diplomatic protection revive? When the host State **fails to abide by and comply with the award**. The home State may then espouse the claim again, and under **Article 64** a dispute between Contracting States on the interpretation or application of the Convention may go to the International Court of Justice.

This gives the Convention a sanction that does not depend on any court: non-compliance with an award restores the full range of inter-State claims to the award creditor's State.

Informal diplomatic exchanges

Article 27(2) keeps a narrow space for diplomacy. Informal exchanges **for the sole purpose of facilitating a settlement** are not diplomatic protection and are not prohibited. The line is between **asserting a claim internationally**, which is barred, and **helping the parties settle**, which is not. This connects with the **pacific settlement of disputes** under the UN Charter, which includes negotiation, mediation and conciliation.

Link with the law of diplomatic protection

Article 27 is the leading example of **Article 17 of the ILC Draft Articles 2006** (*lex specialis*). The customary right is not abolished; it is displaced while the special regime works, and it returns when the regime fails to produce compliance.

Article 27 and the “fork in the road”

The class materials call Article 27 a **fork-in-the-road** provision, because once the investment route is taken the choice cannot be reversed. This is a useful memory aid but is not exact. Strictly, a fork-in-the-road clause is a **BIT** provision making the investor’s choice between host-State courts and international arbitration final. Article 27 differs in three ways:

1. it binds the **home State**, not the investor;
2. the two routes are **diplomatic protection and ICSID arbitration**, not local courts and arbitration; and
3. its effect is **conditional, not final**, because non-compliance revives the right.

It is best described as a **conditional waiver of diplomatic protection** which produces a fork-in-the-road effect.

3.2 Article 53 — Binding Force of the Award

Text

(1) The award shall be binding on the parties and shall not be subject to any appeal or to any other remedy except those provided for in this Convention. Each party shall abide by and comply with the terms of the award except to the extent that enforcement shall have been stayed pursuant to the relevant provisions of this Convention.

(2) For the purposes of this Section, “award” shall include any decision interpreting, revising or annulling such award pursuant to Articles 50, 51 or 52.

Meaning and elements

Article 53 makes the award **final and self-contained**. It can be attacked only from inside the Convention.

1. “**The parties**” means the parties to the dispute, that is the investor and the host State, not the Contracting States generally. This is the contrast with Article 54, and the reason ICSID awards create **no precedent**.
2. **No appeal, and no other remedy**. The exclusion goes beyond appeal to any parallel or collateral remedy, and in particular it excludes the **setting-aside jurisdiction** that national arbitration statutes give to domestic courts.
3. The only permitted remedies are **interpretation (Art 50), revision (Art 51) and annulment (Art 52)**. Annulment lies on narrow grounds only — improper constitution of the tribunal, manifest excess of powers, corruption, serious departure from a fundamental rule of procedure, and failure to state reasons. It is **not** a review of correctness.
4. The words “**except to the extent that enforcement shall have been stayed**” refer to stays granted under the Convention while interpretation, revision or annulment is pending. They are not a general licence to withhold payment.
5. Article 53(2) extends “**award**” to decisions interpreting, revising or annulling an award, so these carry the same binding force and enforcement machinery.

Contrast with the New York Convention

Key comparison: under **Article V of the New York Convention** a national court may refuse enforcement on grounds including **arbitrability** and **public policy**, whose content each court decides

for itself. **The ICSID Convention has no such ground** — no arbitrability filter, no public-policy exception, and no power in a national court to reopen the award. This matters because investment awards usually concern whole industries, not single contracts.

3.3 Article 54 — Recognition and Enforcement

Text

(1) Each Contracting State shall recognize an award rendered pursuant to this Convention as binding and enforce the pecuniary obligations imposed by that award within its territories as if it were a final judgment of a court in that State. A Contracting State with a federal constitution may enforce such an award in or through its federal courts and may provide that such courts shall treat the award as if it were a final judgment of the courts of a constituent state.

(2) A party seeking recognition or enforcement in the territories of a Contracting State shall furnish to a competent court or other authority which such State shall have designated for this purpose a copy of the award certified by the Secretary-General. Each Contracting State shall notify the Secretary-General of the designation of the competent court or other authority and of any subsequent change in such designation.

(3) Execution of the award shall be governed by the laws concerning the execution of judgments in force in the State in whose territories such execution is sought.

Meaning and elements

The crucial word is “each”. Article 53 binds the **parties**; **Article 54 binds every Contracting State**. An award in a dispute with one host State must be recognised and enforced by the courts of every other Contracting State where enforcement is sought. A domestic judgment, by contrast, binds only the litigants.

1. The duty covers **pecuniary obligations only**. Non-monetary parts of an award, such as restitution or specific performance, bind under Article 53 but fall outside the Article 54 duty.
2. The standard is treatment **as if a final domestic judgment** — no re-examination and no Article V-type grounds of refusal.
3. The **federal proviso** allows a federal State to enforce through its federal courts and to direct them to treat the award as a final judgment of a constituent state’s courts. This prevents enforcement being frustrated by the federal–state division of competence, and confirms that responsibility rests on the federal State.
4. Procedurally, the applicant supplies a copy of the award **certified by the Secretary-General** to the authority designated by that State, and each State must notify its designation. Failure to designate does not excuse the obligation.
5. **Execution** is governed by ordinary domestic law (Article 54(3)).

Recognition, enforcement and execution

Stage	Meaning	Provision
Recognition	The court accepts the award as binding and final, with the status of a domestic judgment.	Art 54(1)
Enforcement	The court gives effect to the money obligations — in practice, judgment on the award.	Art 54(1)–(2)
Execution	Actual recovery against assets, through ordinary domestic machinery.	Art 54(3), subject to Art 55

The Convention is strong at the first two stages and silent at the third. **Article 55** marks the limit:

Nothing in Article 54 shall be construed as derogating from the law in force in any Contracting State relating to immunity of that State or of any foreign State from execution.

ICSID Convention, Articles 27, 53, 54 and 55 — official English text.

Practical limit of the ICSID system: a creditor may obtain recognition easily and still fail to recover, because **sovereign immunity from execution** protects the host State's assets under local law. Most systems allow execution only against assets used for commercial purposes. Always mention this together with the system's strength.

Enforcement in practice

Micula v Romania, ICSID Case No ARB/05/20, Award of 11 December 2013, is the leading modern illustration. **Facts.** Romania withdrew tax incentives in breach of the Sweden–Romania BIT and damages were awarded. **What followed.** The European Commission decided in March 2015 that paying the award would be unlawful State aid; the General Court annulled that decision in June 2019; the Court of Justice set the General Court's judgment aside in January 2022. Meanwhile the **United Kingdom Supreme Court allowed enforcement in February 2020**, holding that the Article 54 duty was not displaced by the European Union duty of sincere cooperation, and proceedings also continued in the United States. **Principle.** Article 54 is a firm obligation, but its operation can be complicated where another body of law pulls the other way.

Caution. The **Yukos** awards against Russia (Energy Charter Treaty, UNCITRAL Rules) and **Sedelmayer v Russia** (Stockholm Chamber of Commerce) are **not ICSID awards** and cannot be cited on Articles 53 to 55. They were enforced under the New York Convention and national immunity law.

3.4 Articles 53, 54 and 55 Compared

	Article 53	Article 54	Article 55
Who is bound	Parties to the dispute	Every Contracting State	—
Subject	Binding force; no appeal or outside remedy	Recognition and enforcement of money obligations	Preserves immunity from execution
Effect	Award final; only Arts 50–52 available	Award treated as a final domestic judgment	Domestic immunity law unaffected
Limit	Annulment on narrow grounds	Does not cover non-money obligations	May defeat recovery altogether

3.5 Present Position

The Convention has never been amended. What has changed is the surrounding procedure, through the **ICSID Arbitration Rules effective 1 July 2022**, and the membership, through the denunciations noted above. Under **Article 72** a denunciation does not affect consent given before it took effect.

For Indian answers: because **India is not a Contracting State**, Articles 27, 53 and 54 do not bind India, and Indian courts owe no duty under Article 54. Awards against India, such as **White Industries**, are non-ICSID awards enforced under the New York Convention as applied by Indian law.

Part IV — Salient Features of Bilateral Investment Treaties

4.1 What a BIT Does

A **bilateral investment treaty** is an agreement between two States on the treatment of investments made in the territory of one by investors of the other. It does two things: it grants **substantive rights and duties**, and it provides the **forum** in which they are enforced. Since the ICSID Convention gives almost no substantive rights, it is the BIT that decides what the investor is actually owed.

Enforcement is by **investor–State arbitration (ISA)**, also called **investor–State dispute settlement (ISDS)**. Its defining feature is that the investor may claim **without waiting for espousal by its home government**. A standing criticism, recorded in the class materials, is that older treaties gave rights to investors and duties only to host States. New-generation treaties have begun to place obligations on investors too.

4.2 Definition of “Investment”

This is the jurisdictional gateway. Two drafting methods are used. An **asset-based** definition lists broad categories, usually introduced by “every kind of asset”, covering property, shares, claims to money, intellectual property and concessions. An **enterprise-based** definition, used in new-generation treaties, protects only an enterprise established in the host State together with its assets, and is much narrower.

Where the treaty gives no definition, tribunals have developed tests.

***Salini Costruttori S.p.A. and Italstrade S.p.A. v Kingdom of Morocco*, ICSID Case No ARB/00/4, Decision on Jurisdiction, 23 July 2001**

Facts. Italian contractors carried out road construction work in Morocco and claimed under the Italy–Morocco BIT; Morocco objected that a construction contract was not an investment.

Decision. Jurisdiction upheld; the tribunal set out four criteria of an investment (para 52).

Principle — the Salini test.

1. a **contribution** of money or assets;
2. a certain **duration** of performance;
3. an element of **risk** assumed by the investor; and
4. a **contribution to the economic development** of the host State.

Examination point: the **fourth criterion is the distinguishing and most criticised element**, because it appears nowhere in Article 25 of the ICSID Convention and imports a development requirement into a test of jurisdiction. Later tribunals have doubted it, and **White Industries** refused to apply the test at all outside ICSID.

4.3 Definition of “Investor”

Treaties cover natural persons who are nationals of a party, and juridical persons identified by incorporation, seat, control, or a combination. Many treaties also protect only investments made **in accordance with the law** of the host State, which allows objections based on illegality. Two problems recur.

***Tokios Tokelés v Ukraine*, ICSID Case No ARB/02/18, Decision on Jurisdiction, 29 April 2004**

Facts. A Lithuanian company claimed against Ukraine under the Lithuania–Ukraine BIT, although it was owned and controlled by Ukrainian nationals.

Decision and principle. The **place of incorporation controlled**, so the company qualified as a Lithuanian investor. **Denial of benefits** clauses are now used in treaties to prevent this kind of **treaty shopping**.

Philip Morris Asia Ltd v Commonwealth of Australia, PCA Case No 2012-12, Award on Jurisdiction and Admissibility, 17 December 2015

Facts. The group restructured so that its Australian business was held through Hong Kong, allowing reliance on the Hong Kong–Australia BIT, at a time when Australia’s tobacco plain-packaging legislation was already anticipated.

Decision and principle. The claim was **inadmissible as an abuse of rights**. Restructuring to gain treaty protection when a dispute is already foreseeable is not permitted.

4.4 National Treatment and Most-Favoured-Nation Treatment

National treatment requires the host State to treat covered foreign investments no less favourably than those of its own nationals in like circumstances. **Most-favoured-nation (MFN) treatment** requires treatment no less favourable than that given to investments of any third State.

The contested question is whether an MFN clause can **import provisions from another treaty**. Two lines of authority exist.

Emilio Agustín Maffezini v Kingdom of Spain, ICSID Case No ARB/97/7, Decision on Jurisdiction, 25 January 2000

Facts. An Argentine investor relied on the MFN clause in the Argentina–Spain BIT to avoid an eighteen-month domestic-court requirement, by importing the more favourable dispute-settlement provision of the Chile–Spain BIT.

Decision and principle. MFN can import more favourable dispute-settlement provisions, subject to public-policy limits.

Plama Consortium Ltd v Republic of Bulgaria, ICSID Case No ARB/03/24, Decision on Jurisdiction, 8 February 2005; *Salini Costruttori S.p.A. v Hashemite Kingdom of Jordan*, ICSID Case No ARB/02/13, Decision on Jurisdiction, 9 November 2004

Decision and principle. Dispute-settlement provisions **cannot** be imported through an MFN clause without clear language. In *Plama* the tribunal held that the MFN clause of the Bulgaria–Cyprus BIT did not extend to dispute resolution.

The question is still unsettled. Its importance is shown by *White Industries*, where MFN was used successfully to import a substantive standard from another Indian treaty. That is the direct reason the **Indian Model BIT 2015 omits an MFN clause**.

4.5 Fair and Equitable Treatment and the Minimum Standard

The **international minimum standard** is the treatment customary international law requires a State to give aliens, regardless of how it treats its own nationals.

Neer v United Mexican States, United States–Mexico General Claims Commission, 15 October 1926, (1926) 4 RIAA 60

Facts. A United States national was killed in Mexico and his family alleged that the Mexican authorities failed to investigate and prosecute properly.

Decision and principle. The claim failed. The threshold is high: the conduct must amount to “an outrage, to bad faith, to wilful neglect of duty, or to an insufficiency of governmental action so far short of international standards that every reasonable and impartial man would readily recognize its insufficiency” (para 4).

Fair and equitable treatment (FET) is the treaty standard that does most of the work in practice. It is a test of the **reasonableness and fairness** of State conduct, from which tribunals have drawn protection of **legitimate expectations**, transparency, consistency, due process, freedom from arbitrariness and coercion, and the prohibition of **denial of justice**.

Técnicas Medioambientales Tecmed S.A. v United Mexican States, ICSID Case No ARB(AF)/00/2, Award, 29 May 2003

Facts. A Spanish investor operated a hazardous-waste landfill in Mexico; the local authority refused to renew its operating permit.

Decision and principle. FET was breached. The host State must not frustrate the investor's **basic expectations** and must act consistently, without ambiguity and transparently (para 154).

Whether FET is the same as the customary minimum standard or a separate treaty standard remains controversial. Where treaty parties wish to settle it, they say so: the **NAFTA Free Trade Commission Notes of Interpretation of 31 July 2001** declared that Article 1105(1) prescribes the customary minimum standard and requires nothing more.

4.6 Full Protection and Security

This clause requires the host State to protect the investment. Two points are settled, both from *AAPL v Sri Lanka* (discussed at 4.12):

1. it is aimed mainly at the **physical protection** of assets, though some tribunals have extended it to legal security; and
2. it is **not a guarantee against loss** but an obligation of **due diligence** — the State must take the measures a reasonably well-administered government would take.

4.7 Expropriation

Every BIT regulates expropriation, which includes outright nationalisation and measures of equivalent effect. Three forms must be distinguished: **direct** expropriation transfers title; **indirect** expropriation leaves title untouched but destroys the value or control of the investment; and **creeping** expropriation achieves the same result through a series of measures over time.

Expropriation is lawful only if four conditions are met:

1. a **public purpose**;
2. **non-discrimination**;
3. **due process of law**; and
4. payment of **compensation**, normally on the Hull Formula.

Two rules to remember. (i) **Contractual and other incorporeal rights can be expropriated**, not only land and goods (*SPP v Egypt*). (ii) The four conditions govern the **manner** of the taking, not the existence of the duty to pay, so a **lawful expropriation still requires compensation**.

Modern treaties also preserve the **police powers** of the State, so that genuine, non-discriminatory regulation for public purposes such as health or the environment is not compensable.

Philip Morris Brands Sàrl v Oriental Republic of Uruguay, ICSID Case No ARB/10/7, Award, 8 July 2016

Facts. Uruguay adopted tobacco control measures, including a single-presentation requirement and enlarged health warnings, and the investor claimed expropriation and breach of FET.

Decision and principle. The claim failed. Bona fide, non-discriminatory public-health regulation is a valid exercise of police powers and does not require compensation.

4.8 Other Standard Clauses

A BIT also contains a group of clauses governing the working life of the investment.

1. **Free transfer of funds** — repatriation of capital, profits and sale proceeds in convertible currency, subject to balance-of-payments safeguards. This is the treaty form of the “effective” limb of the Hull Formula.
2. **Compensation for losses from war and civil disturbance** — national and MFN treatment for such losses, and separate compensation where the destruction was **not required by combat action or the necessities of the situation**. This was the clause in *AAPL v Sri Lanka*.
3. **Umbrella clause** — a promise to observe commitments given to investors, so that a breach of contract may become a breach of treaty. Its scope is the subject of the two **SGS** decisions.
4. **Entry and sojourn of personnel** — entry and stay for key personnel, subject to immigration law.
5. **Subrogation** — recognition of the rights of a home State or insurer that has paid the investor under political-risk cover.
6. **General and security exceptions** — modelled on **Article XX of the GATT**, preserving measures for public morals, human, animal or plant life or health, and national security.
7. **Survival or sunset clause** — protection of existing investments continues for a stated period, usually ten to twenty years, after the treaty ends.

4.9 Dispute Settlement

Treaties provide for two kinds of dispute. **State–State** disputes concern interpretation or application of the treaty, and some treaties allow the parties to issue binding interpretations. **Investor–State** disputes arise from the treaty’s standing offer of arbitration, which the investor accepts by starting proceedings; that consent satisfies Article 25 of the ICSID Convention where it applies.

Indian treaties usually contain a **multi-tier clause**: consultation and negotiation, then conciliation, then arbitration, with the UNCITRAL rules designated. Two steps must be distinguished:

1. **Notice of Dispute** — records the difference of opinion and starts the negotiation or cooling-off period.
2. **Notice of Arbitration** — invokes the dispute-resolution clause and commences the arbitration.

Related features are **fork-in-the-road** clauses, **waiting periods** (six months under Article 13(2) of the India–Australia BIT; three months under Article 8(3) of the treaty in *AAPL*) and local-remedies requirements. Whether these go to jurisdiction or admissibility is contested.

4.10 The Indian Model BIT, 2015

After *White Industries* India terminated most of its bilateral investment treaties and adopted a new model text. Its main features reverse specific features of the older treaties:

1. an **enterprise-based definition of investment**, excluding items such as arbitral awards and court decisions;
2. **no MFN clause**, so standards cannot be imported from other treaties;
3. FET replaced by a **narrowed standard tied to customary international law**, not a free-standing clause;
4. **exhaustion of local remedies for five years** before arbitration, followed by a negotiation period;
5. **general and security exceptions** preserving regulatory space; and
6. a **taxation carve-out**.

The draft was examined by the **Law Commission of India in Report No 260 (August 2015)**, which recommended softening several of the more restrictive provisions. Similar rebalancing appears in the Dutch model text of 2019, Brazil's Cooperation and Facilitation Investment Agreements, the Morocco–Nigeria treaty of 2016 and the SADC model text.

4.11 White Industries Australia Limited v Republic of India

UNCITRAL, Final Award, 30 November 2011. Ad hoc arbitration under the UNCITRAL Arbitration Rules 1976, under the **India–Australia BIT 1999**, seat Singapore. There was no ICSID element, India not being a party to the Convention.

Facts

White Industries contracted with **Coal India Limited**, a State-owned company, in September 1989 to supply equipment and develop the **Piparwar** open-cast coal mine under the Australia–India bilateral assistance programme. The finance was **tied aid**, that is, aid conditional on buying goods or services from the donor country rather than untied money. Disputes arose over production and coal-quality bonuses and penalties, and Coal India encashed a bank guarantee.

The contract provided for **ICC arbitration**, and the ICC tribunal awarded White about AUD 4.08 million on **27 May 2002**. White sought enforcement in the Delhi High Court; Coal India applied in Calcutta to set the award aside. White failed before a single judge and a Division Bench, appealed to the Supreme Court of India in July 2004, and the Delhi High Court stayed enforcement in March 2006. The matter then remained pending: about **nine years** passed without resolution of the jurisdictional question and more than five without the Supreme Court hearing the appeal. After unanswered letters of 10 December 2009 and 30 March 2010, White filed its Notice of Arbitration on 27 July 2010, claiming over AUD 10 million.

Issues and decision

1. **Was White an investor with an investment under the BIT?** India argued that the **Salini** test applied. Held: **Salini** is ICSID jurisprudence and does not apply to an UNCITRAL arbitration under this treaty. The contractual rights qualified even though they were rights **in personam** rather than in rem, and the rights in the ICC award were not created by the award but arose from the contract, which the award **crystallised**. The **unenforced commercial arbitration award was therefore part of the investment**.
2. **Failure to promote favourable conditions for investors (Article 3(1))?** Rejected. The language was too general to support the specific obligations claimed.
3. **Breach of fair and equitable treatment (Article 3(2))?** Rejected. White ought to have known the approach of the Indian courts to setting aside awards, and so could not have held the legitimate expectation it claimed. There was **no denial of justice**, that standard requiring strict construction and conduct far graver than delay.
4. **Failure to provide “effective means of asserting claims” (Article 4(2))?** **Claim succeeded.** Article 4(2) is the **MFN clause**, and White used it to import **Article 4(5) of the India–Kuwait BIT**, which obliged India to provide effective means of asserting claims and enforcing rights. India argued this would upset the negotiated balance of the treaty. The tribunal allowed the import, treated effective means as an **objective standard, distinct from and less demanding than denial of justice**, and held the nine-year delay a breach.

On **expropriation** the claim failed: neither the set-aside nor the enforcement application had been decided, so there was no taking.

Award

India was ordered to pay **AUD 4,085,180** — the amount due under the ICC award — with interest, and White's costs of the ICC arbitration including arbitrators' fees and witness expenses. The figure of AUD 10 million sometimes quoted was the amount **claimed**, not awarded.

Significance

1. The **first adverse investment treaty award against India**.
2. **Judicial delay can breach a treaty obligation** even where it falls short of denial of justice.
3. It showed the practical power of the **MFN clause** to import substantive standards.
4. It caused India to terminate most of its BITs and adopt the **Model BIT 2015**.

Indian background cases

Bhatia International v Bulk Trading S.A., (2002) 4 SCC 105, held that Part I of the Arbitration and Conciliation Act 1996 applied even to arbitrations seated outside India unless excluded by the parties. **Venture Global Engineering v Satyam Computer Services Ltd**, (2008) 4 SCC 190, followed it and allowed a foreign award to be challenged in India under Part I. These decisions explain the delays complained of in **White Industries**.

Present position in India: *Bharat Aluminium Co v Kaiser Aluminium Technical Services Inc* (BALCO), (2012) 9 SCC 552, a Constitution Bench decision of 6 September 2012, **overruled** **~Bhatia International~** and held that **Part I does not apply to arbitrations seated outside India**. The ruling operates **prospectively**, applying to arbitration agreements made after 6 September 2012.

4.12 Southern Pacific Properties (Middle East) Limited v Arab Republic of Egypt (SPP v Egypt)

ICSID Case No ARB/84/3; Decisions on Jurisdiction of 27 November 1985 and 14 April 1988; Award of 20 May 1992; reported at 3 ICSID Reports 101 (1995) and in ICSID Review vol 8(2) (1993) 328. Tribunal: Eduardo Jiménez de Aréchaga (President), Robert Pietrowski, and Mohamed Amin El Mahdi (dissenting). The claimants were Hong Kong companies.

Facts

By a "Heads of Agreement" of **23 September 1974** the Egyptian Minister of Tourism, the public sector enterprise **EGOTH** and SPP agreed to form an Egyptian joint venture to develop tourist complexes at the **Pyramids area near Cairo** and at Ras El Hekma. The Ministry and EGOTH were to secure title and transfer the **right of usufruct** to the joint venture as capital, and to obtain approvals including long-term tax holidays and customs exemptions; SPP was to provide finance and technical expertise. On **28 May 1978** the Egyptian investment authority withdrew approval of the Pyramids Oasis project, after opposition based on protecting the antiquities.

An earlier **ICC award** was annulled by the Paris Court of Appeal on 12 July 1984 because Egypt was not a party to the arbitration clause, and the annulment was upheld by the Cour de cassation on 6 January 1987. **The ICC award and the ICSID award must not be confused.**

Jurisdiction — the landmark holding

Key holding: Egypt had given no treaty consent and no binding contractual consent. The tribunal found consent in **Egyptian domestic law — Article 8 of Law No 43 of 1974 on the Investment of Arab and Foreign Funds and the Free Zones**. **A host State's investment statute can itself be the "consent in writing" required by Article 25 of the ICSID Convention.** Domestic legislation is therefore an independent basis of ICSID jurisdiction, alongside contracts and treaties.

Decision on the merits — three defences rejected

1. **Reliance on domestic law.** Egypt argued that acts of its officials, including a Presidential Decree, might be void or voidable under Egyptian law. Rejected: they were acts of Egyptian authorities, including the highest executive authority, and created expectations protected by international law. A finding of nullity under municipal law would not settle liability for damage suffered by a party that relied on them, and if municipal law gave no remedy, the denial of any remedy could not be the final answer. This is the **doctrine of legitimate expectations**, and an application of the rule that **domestic law is no excuse for breach of international law**.
2. **No nationalisation.** Egypt argued that the cancellation was neither nationalisation nor confiscation, that Egyptian law confined expropriation to real property, and that the contractual rights were only reduced in value. Rejected: what was taken was SPP's rights derived from EGOTH's right of usufruct, irrevocably transferred to the joint venture. Those rights were contractual, not in rem, but **contractual rights are protected by international law and their taking requires compensation**. The tribunal relied on Iran–United States Claims Tribunal authority that liability arises whether the taking is formal or de facto and whether the property is tangible or intangible.
3. **The UNESCO Convention.** Egypt argued that the entry into force of the World Heritage Convention on 17 December 1975 obliged it to cancel the project. Rejected: the Convention neither justified the measures nor excluded compensation, and the relevant obligations bound Egypt only from **1979**, when the pyramid fields were nominated and the nomination accepted — after the 1974 agreement and after the May 1978 cancellation.

Egypt also relied on an alternative site and an offer of USD 1,500,000. The tribunal noted that withdrawal of EGOTH's contribution, blocking of the joint venture's accounts, receivership and sequestration had made continuation impracticable. **The legal conditions of a lawful expropriation include an attempted payment of compensation**; an unaccepted offer does not discharge the duty.

Compensation and interest

Compensation was assessed on the basis of **capital expenditure and loans plus loss of opportunity** — an out-of-pocket measure. The **discounted cash flow (DCF) method was rejected as too speculative** because the project was at an early stage, on the principle against awarding damage that is possible but contingent and indeterminate. **Interest was awarded at 5 per cent per annum, simple** (compound interest being unavailable under the applicable law), running from the date of dispossession, **28 May 1978**, until payment, except one loan carrying its own higher contractual rate. On quantum, the principal damages are recorded as **USD 7,661,000**, while the figure commonly cited, and given in the class materials, is approximately **USD 27 million including interest**.

Significance

1. **Domestic investment legislation can supply consent** to ICSID jurisdiction.
2. **Contractual and incorporeal rights can be expropriated.**
3. Neither a State's own law nor a legitimate public purpose escapes the **duty to compensate**.
4. **Speculative valuation methods are rejected** for early-stage investments.
5. It is the standard example of the conflict between investment protection and **cultural heritage protection**.

4.13 *Asian Agricultural Products Limited v Republic of Sri Lanka (AAPL v Sri Lanka)*

ICSID Case No ARB/87/3, Final Award, 27 June 1990; reported (1992) 17 Yearbook Commercial Arbitration 106. Tribunal: Ahmed El-Kosheri (President), Berthold Goldman, and Samuel Asante (dissenting).

Facts

AAPL, incorporated in Hong Kong, held shares in **Serendib Seafoods Ltd**, a Sri Lankan joint venture running a shrimp culture farm. In **January 1987** the farm, the company's main producing centre, was destroyed during a military operation by Sri Lankan security forces against installations reported to be used by Tamil insurgents. AAPL claimed total loss of its investment. The dispute went unanswered beyond the three-month amicable settlement period under Article 8(3), so AAPL became entitled to start ICSID arbitration.

Historic significance: this was the **first case in which an international tribunal decided a claim founded on a bilateral investment treaty**. Earlier ICSID cases rested on contracts or domestic legislation. The award is the beginning of investment treaty arbitration, often called “arbitration without privity”. The treaty was the **Sri Lanka–United Kingdom BIT of 1980**, which applied to Hong Kong as a United Kingdom dependent territory at the time; the class reference to a “Sri Lanka–Hong Kong BIT” reflects that extension.

Bases of claim

1. **Full protection and security** under Article 2, which AAPL argued was unconditional.
2. **The war and civil disturbance clause**, Article 4(2), requiring adequate compensation for destruction **not justified by combat action or the necessities of the situation**.
3. **Customary State responsibility**, later restated in the ILC Articles of 2001.

Applicable law

The tribunal treated the BIT as **lex specialis** — a special regime standing apart from, but not sealed off from, general international law — and held that it **incorporated the standards of general international law**. The rule applied was that in times of civil conflict the host State owes a duty to give **adequate protection** to foreign investments, and failure engages its responsibility. That rule was identified as **customary international law forming part of the treaty**. This matches **Article 42(1) of the ICSID Convention**: absent an agreed choice, host-State law plus applicable international law. The practical effect is that **the due diligence standard came from customary law, not from the text of the BIT**.

Decision — due diligence, not strict liability

Central holding: full protection and security is **not absolute and not strict liability**. The State is not an insurer. It must exercise **due diligence**, that is, take all measures reasonably expected to prevent the loss.

Sri Lanka was held in breach. On the uncontested evidence the Government should at least have tried to use the available peaceful, high-level channels of communication to have suspect persons removed from the farm's staff before launching a large counter-insurgency operation. That step was within ordinary governmental powers, and the failure was more serious because the company's chief executive had confirmed his willingness to comply with any government request only ten days earlier. Through this **inaction and omission** Sri Lanka violated its due diligence obligation.

Supporting evidence

The tribunal relied on the expert evidence of **Professor Ian Brownlie**: international responsibility arises from the mere failure to exercise due diligence, and there is a **sliding scale of liability** related to the standard of diligence. It also relied on **Max Huber** in the Spanish Zone of Morocco claims: non-responsibility for revolutionary events does not remove the duty of vigilance, and a State may answer for what its authorities do or fail to do to avert the consequences, within the limits of possibility. Substantial negligence in taking precautionary action is therefore enough.

Correct meaning of the sliding scale: the **standard of diligence varies with the circumstances** — the gravity and foreseeability of the risk and the means available to the State. It does **not** mean that carrying out more checks reduces the legal obligation.

Award and criticism

USD 460,000 was awarded, representing the value of tangible assets attributable to AAPL's shareholding. **Lost future profits were refused as speculative.** Sri Lanka bore a share of the costs. **Dr Asante dissented**, favouring a smaller sum reflecting AAPL's equity investment. The case matters for its principle, not its quantum.

Criticism worth stating. The tribunal took jurisdiction from the treaty but decided largely by applying customary rules not stated in the treaty. If that is permissible, the limits of an investment tribunal's competence become unclear: such a tribunal might have to decide whether the conflict was a war of national liberation, and then address protection of property under the laws of war — questions for which investment tribunals are not designed and their members not selected.

Significance

1. The **first BIT-based award** — the origin of the modern system.
2. **Full protection and security is a due diligence obligation**, and a State may be liable for omissions.
3. A BIT is **lex specialis that incorporates general international law**, so customary rules can be applied by a treaty tribunal.

4.14 The Three Cases Compared

	<i>AAPL v Sri Lanka</i> (1990)	<i>SPP v Egypt</i> (1992)	<i>White Industries v India</i> (2011)
Basis of consent	BIT (Sri Lanka–UK 1980) — the first of its kind	Domestic statute (Egyptian Law 43 of 1974, Art 8)	BIT (India–Australia 1999); UNCITRAL, non-ICSID
Standard breached	Full protection and security — due diligence	Expropriation of contractual rights	Effective means, imported through MFN
Claims rejected	Strict liability argument	Domestic law, no nationalisation, UNESCO	FET, denial of justice, expropriation
Award	USD 460,000; no lost profits	Principal USD 7,661,000; about USD 27m with interest at 5% simple from 28 May 1978	AUD 4,085,180 with interest and ICC costs
Lasting effect	Founded investment treaty arbitration	Consent by legislation; contractual rights protected; DCF rejected	India terminated most BITs; Model BIT 2015

Topic-Wise List of Case Laws

All citations below have been verified against the reported decision or the official case record.

Topic 1 — Evolution of International Investment Law and Diplomatic Protection

Case and citation	Principle
<i>Mavrommatis Palestine Concessions (Greece v United Kingdom)</i> , PCIJ, Judgment No 2, 30 August 1924, Series A No 2, at 12	A State espousing its national's claim asserts its own right; the claim belongs to the State. Foundation of diplomatic protection.
<i>North American Dredging Company of Texas (United States v Mexico)</i> , General Claims Commission, 31 March 1926, (1926) 4 RIAA 26	A Calvo Clause binds the investor to local remedies for contract claims but cannot bar protection against breaches of international law.
<i>Panevezys–Saldutiskis Railway (Estonia v Lithuania)</i> , PCIJ, 28 February 1939, Series A/B No 76	Admissibility requires continuous nationality of the claim and exhaustion of local remedies.
<i>Nottebohm (Liechtenstein v Guatemala)</i> , ICJ Reports 1955, p 4	Nationality relied on for diplomatic protection must rest on a genuine link and be opposable to the respondent State.
<i>Interhandel (Switzerland v United States)</i> , ICJ, Preliminary Objections, 21 March 1959, at 27	Exhaustion of local remedies is a well-established rule of customary international law.
<i>Barcelona Traction, Light and Power Company Ltd (Belgium v Spain)</i> , ICJ Reports 1970, p 3	Corporate nationality follows incorporation and registered office; injury to a company is not injury to its shareholders.
<i>Elettronica Sicula S.p.A. (ELSI) (United States v Italy)</i> , ICJ Chamber, 20 July 1989, para 50	The local remedies rule applies to treaty claims unless clearly waived.
<i>Ahmadou Sadio Diallo (Guinea v DR Congo)</i> , ICJ, Preliminary Objections, 24 May 2007, para 89; Merits, 30 November 2010	A shareholder's direct rights may be protected; protection by substitution for the company is not recognised in customary law.

Topic 2 — Sources of International Investment Law

Case and citation	Principle
<i>Lauder v Czech Republic</i> and <i>CME Czech Republic B.V. v Czech Republic</i> , UNCITRAL, 2001	Two tribunals reached opposite results on substantially the same facts — the classic example of inconsistency.
<i>SGS Société Générale de Surveillance S.A. v Islamic Republic of Pakistan</i> , ICSID Case No ARB/01/13, Decision on Jurisdiction, 6 August 2003	Restrictive reading of the umbrella clause; contract claims not converted into treaty claims.
<i>SGS Société Générale de Surveillance S.A. v Republic of the Philippines</i> , ICSID Case No ARB/02/6, Decision on Jurisdiction, 29 January 2004	The umbrella clause “means what it says” and covers contractual commitments, but an exclusive contract forum clause barred determination of the sum due.

Topic 3 — ICSID Convention, Articles 27, 53 and 54

Case and citation	Principle
<i>Micula v Romania</i> , ICSID Case No ARB/05/20, Award, 11 December 2013, and enforcement proceedings (EU General Court 2019; CJEU January 2022; UK Supreme Court February 2020)	Article 54 imposes a firm duty of recognition and enforcement on Contracting States, which may nevertheless collide with European Union State-aid law.
<i>Southern Pacific Properties (Middle East) Ltd v Egypt</i> , ICSID Case No ARB/84/3	Consent to ICSID jurisdiction under Article 25 may be contained in the host State's own investment legislation.

Topic 4 — Salient Features of BITs: General Standards

Case and citation	Principle
<i>Neer v United Mexican States</i> , General Claims Commission, 15 October 1926, (1926) 4 RIAA 60, para 4	High threshold of the international minimum standard — an outrage, bad faith or wilful neglect of duty.
<i>Emilio Agustín Maffezini v Spain</i> , ICSID Case No ARB/97/7, Decision on Jurisdiction, 25 January 2000	An MFN clause may import more favourable dispute-settlement provisions from a third-party treaty.
<i>Salini Costruttori S.p.A. and Italstrade S.p.A. v Morocco</i> , ICSID Case No ARB/00/4, Decision on Jurisdiction, 23 July 2001, para 52	The Salini test of an investment: contribution, duration, risk and contribution to the host State's development.
<i>Técnicas Medioambientales Tecmed S.A. v Mexico</i> , ICSID Case No ARB(AF)/00/2, Award, 29 May 2003, para 154	FET protects the investor's basic expectations and requires consistent, unambiguous and transparent conduct.
<i>Tokios Tokelés v Ukraine</i> , ICSID Case No ARB/02/18, Decision on Jurisdiction, 29 April 2004	Place of incorporation determines the nationality of a corporate investor, even where control lies with host-State nationals.
<i>Salini Costruttori S.p.A. v Hashemite Kingdom of Jordan</i> , ICSID Case No ARB/02/13, Decision on Jurisdiction, 9 November 2004	MFN clauses limited to defined types of treatment do not extend to dispute settlement.
<i>Plama Consortium Ltd v Republic of Bulgaria</i> , ICSID Case No ARB/03/24, Decision on Jurisdiction, 8 February 2005	Dispute-settlement provisions cannot be imported through an MFN clause without clear language.
<i>Philip Morris Asia Ltd v Commonwealth of Australia</i> , PCA Case No 2012-12, Award on Jurisdiction and Admissibility, 17 December 2015	Corporate restructuring to obtain treaty protection when a dispute is foreseeable is an abuse of rights.
<i>Philip Morris Brands Sàrl v Oriental Republic of Uruguay</i> , ICSID Case No ARB/10/7, Award, 8 July 2016	Bona fide, non-discriminatory public-health regulation falls within the State's police powers and is not compensable.

Topic 4 — The Three Prescribed Cases

Case and citation	Principle
<i>Asian Agricultural Products Ltd v Republic of Sri Lanka</i> , ICSID Case No ARB/87/3, Final Award, 27 June 1990; (1992) 17 YCA 106	First award founded on a BIT. Full protection and security is a due diligence obligation, not strict liability; a BIT is <i>lex specialis</i> incorporating general international law. Award: USD 460,000.
<i>Southern Pacific Properties (Middle East) Ltd v Arab Republic of Egypt</i> , ICSID Case No ARB/84/3, Award, 20 May 1992; 3 ICSID Reports 101 (1995)	Consent to ICSID jurisdiction may come from domestic legislation; contractual rights can be expropriated; DCF valuation rejected as speculative; interest at 5% simple from 28 May 1978.
<i>White Industries Australia Ltd v Republic of India</i> , UNCITRAL, Final Award, 30 November 2011	An unenforced commercial arbitration award forms part of the investment; MFN can import an “effective means” obligation; nine years’ judicial delay breached it, though it was not denial of justice. Award: AUD 4,085,180.

Indian Cases Referred to as Background

Case and citation	Principle
<i>Bhatia International v Bulk Trading S.A.</i> , (2002) 4 SCC 105	Part I of the Arbitration and Conciliation Act 1996 applies to arbitrations seated outside India unless excluded by the parties. Overruled by BALCO.
<i>Venture Global Engineering v Satyam Computer Services Ltd</i> , (2008) 4 SCC 190	Following Bhatia, a foreign award could be challenged in India under Part I. No longer good law after BALCO.
<i>Bharat Aluminium Co v Kaiser Aluminium Technical Services Inc</i> (BALCO), (2012) 9 SCC 552	Constitution Bench, 6 September 2012: Part I does not apply to foreign-seated arbitrations; Bhatia International overruled, prospectively from that date.